

Chapter 13

A Comparison of Four Listed Companies

In this chapter we should like to present a sample of security analysis in operation. We have selected, more or less at random, four companies which are found successively on the New York Stock Exchange list. These are ELTRA Corp. (a merger of Electric Autolite and Mergenthaler Linotype enterprises), Emerson Electric Co. (a manufacturer of electric and electronic products), Emery Air Freight (a domestic forwarder of air freight), and Emhart Corp. (originally a maker of bottling machinery only, but now also in builders' hardware).^{*} There are some broad resemblances between the three manufacturing firms, but the differences will seem more significant. There should be sufficient variety in the financial and operating data to make the examination of interest.

In Table 13-1 we present a summary of what the four companies were selling for in the market at the end of 1970, and a few figures on their 1970 operations. We then detail certain key ratios, which relate on the one hand to *performance* and on the other to *price*. Comment is called for on how various aspects of the performance pattern agree with the relative price pattern. Finally, we shall pass the four companies in review, suggesting some comparisons and relationships and evaluating each in terms of the requirements of a conservative common-stock investor.